Section No:

ID: _____

Name: _____

AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ECO102

Principles of Macroeconomics

Mid-Term Assessment (MTA) – Form C

Spring 2024-2025
10-April-2025

Number of Exam Pages: 4 (including this cover sheet)	**Time Allowed: 1.5 hours**

PLEASE READ THE FOLLOWING INSTRUCTIONS

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED OFF" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- **YOU HAVE TO ANSWER ALL THE QUESTIONS.**
5- Do **NOT** write your answers in pencil except graphs/sketches.
6- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
7- Simple calculators are allowed (if needed).
8- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

Question No.	Mark	Marker's Signature
Q1		
Q2		
Q3		

Final Mark: ____ 30	Signature for Total Mark:

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Question One (9 points)

Select the correct answer and **write it** in the space provided. (1.5 points for each question).

Q1	
1.	1) Normative economic statements A) describe what ought to be. B) describe what is rather than what ought to be. C) describe the process of economic policy-making. D) deal with economic hypotheses that are not well-established laws.
2.	2) Economics is best defined as A) how people make money and profits in the stock market. B) making choices from an unlimited supply of goods and services. C) making choices with unlimited wants but facing a scarcity of resources. D) controlling a budget for a household.
3.	3) GDP counts only final goods and services because this A) method avoids including any goods that are produced this year and sold next year. B) method avoids double counting of goods going through several stages of production. C) amount can be more easily determined in the marketplace. D) method avoids understating the value of GDP produced during a given year.
4.	4) The difference between gross investment and net investment is A) the capital stock. B) depreciation. C) the real interest rate. D) equal to saving.
5.	5) The unemployment rate is calculated as A) [(labor force) ÷ (population)] × 100. B) [(unemployment) ÷ (population)] × 100. C) [(unemployment) ÷ (labor force)] × 100. D) [(labor force) ÷ (unemployment)] × 100.
6.	6) The employment-to-population ratio is defined as A) total employment divided by labor hours then multiplied by 100. B) the labor force divided by the working-age population then multiplied by 100. C) total employment divided by the labor force then multiplied by 100. D) total employment divided by the working-age population then multiplied by 100.

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QUESTION 2: (9 MARKS)

A) A country reports the following economic data:

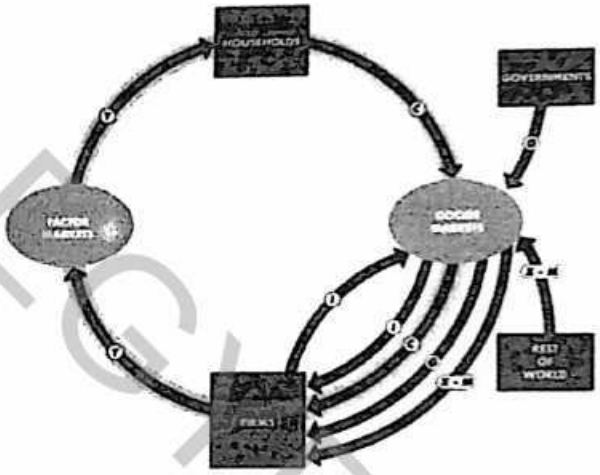
- Consumption (C): $8 trillion
- Investment (I): $3 trillion
- Government expenditure (G): $5 trillion
- Exports (X): $4 trillion
- Imports (M): $6 trillion

Calculate the country's GDP. Show the formula and your calculation (3 points)

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B) From the following diagram:

1. What are the four main identities represented in the diagram? (2 points)



2. What does the flow **X - M** show, and how does it affect GDP when it is negative? (2 points)

3. What does the flow labeled **Y** represent (2 points)

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QUESTION 3: (12 MARKS)

A) Define the labor force participation rate and provide the formula for calculating it. (4 points).

B) Using the given data below, calculate the labor force participation rate: (3 points)

- **Total labor force** = 175 million
- **Working-age population** = 290 million

C) What is the difference between **structural unemployment** and **frictional unemployment**? (5 points)

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END OF THE EXAM

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